CONSTELLATION ENERGY CORPORATION

This note frames the current earnings base for CEG with emphasis on profitability, capital structure, and cash-flow durability.

Revenue	Net Income
$22.7B	$2.32B
19.5%	-38.1%

Operating Margin	Free Cash Flow
13.6%	$1.29B
-40.7%	NM

At a glance

- Revenue is $22.7B with 19.5% change versus the prior period.
- Net income is $2.32B, indicating current earnings scale.
- Balance sheet reads at 0.49x debt-to-equity and 1.53x current ratio.

Executive Summary

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31

CEG posted $22.7B in revenue (19.5% YoY) and $2.32B in net income (-38.1% YoY) for 2025-12-31. Revenue growth coupled with declining net income suggests margin pressure or rising operating costs that bear monitoring in subsequent quarters. The profitability profile is defined by operating margin of 13.6% and net margin of 10.2%, framing the earnings quality behind the headline figures.
The balance sheet carries a moderate profile at 0.49x debt-to-equity and 1.53x current ratio, which is serviceable but leaves limited margin for error under stress scenarios. The quick ratio of 1.31x confirms liquidity depth after excluding inventory from the coverage calculation.

Cash generation is anchored by $4.24B in operating cash flow versus -$2.46B in the prior period, which converts to $1.29B in free cash flow versus -$5.03B in the prior period. Capital expenditures of $2.95B (13.0% of revenue) reflect the reinvestment intensity required to sustain the current operating base and fund future growth. The healthy conversion of earnings into operating cash flow suggests the reported result is supported by cash generation rather than dominated by accruals.

Current balance-sheet and cash profile: leverage at 0.49x, current ratio 1.53x, free cash flow $1.29B.

Snapshot Scorecard

Metric	Current	Prior	Change
Revenue	$22.7B	$19.0B	19.5%
Net Income	$2.32B	$3.75B	-38.1%
Operating Margin	13.6%	22.9%	-40.7%
Debt-to-Equity	0.49x	0.55x	-10.5%
Current Ratio	1.53x	1.57x	-3.1%
Free Cash Flow	$1.29B	-$5.03B	NM

Revenue
$22.7B

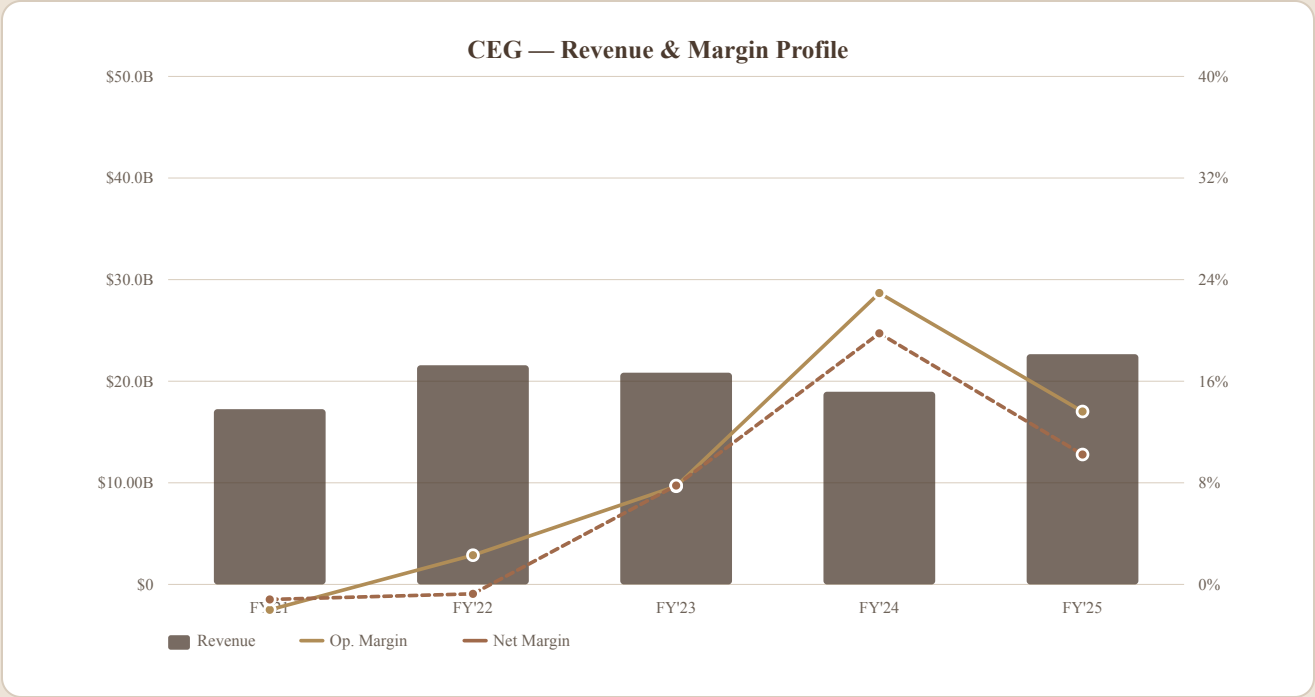
Net Income
$2.32B

Operating Margin
13.6%

Free Cash Flow
$1.29B

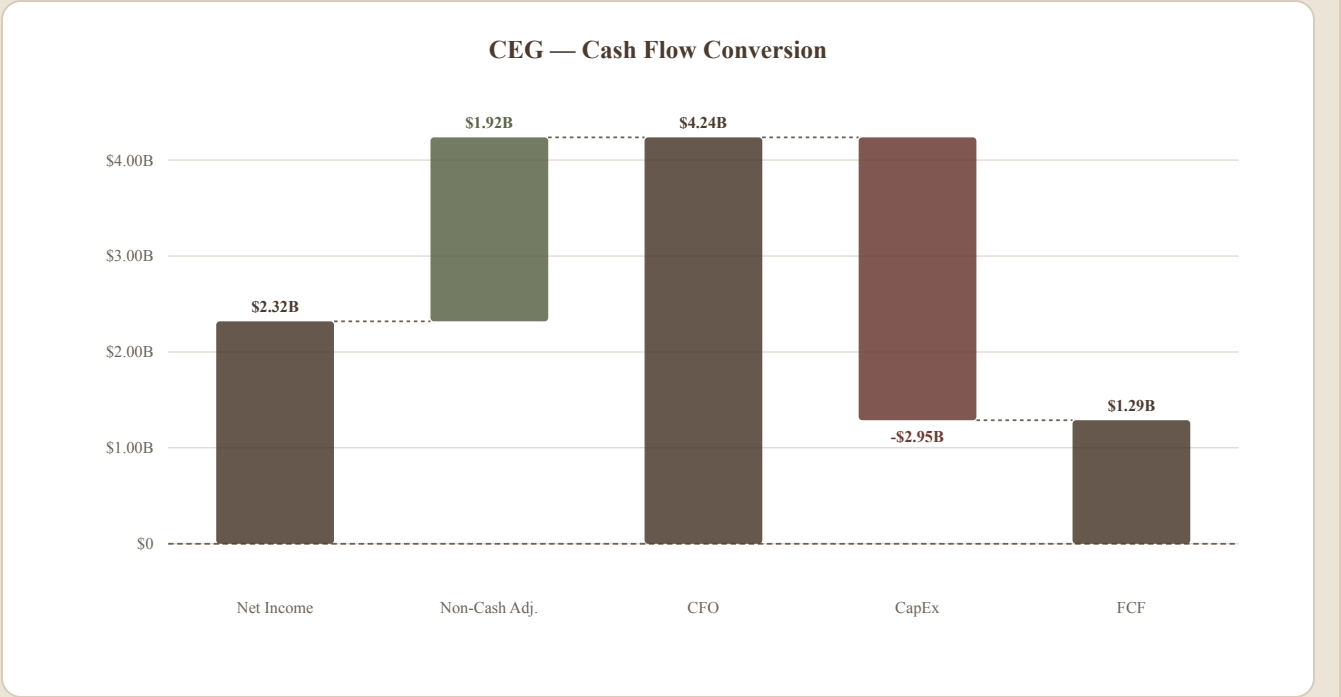
Visual Highlights I

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.

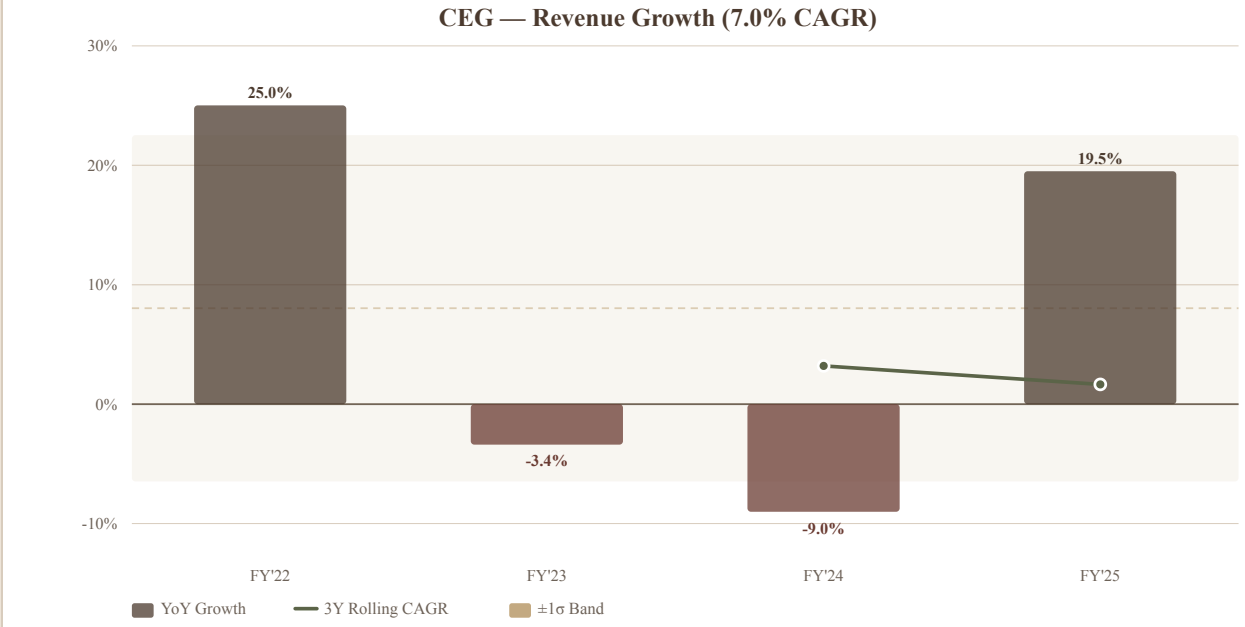


Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Visual Highlights II

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31



Revenue Growth

Year-over-year growth path and stability over the latest annual periods.

Interpretation Snapshot

Key interpretation anchors from the same annual data used in the charts.

- Return on equity is 15.6%, indicating current capital productivity.
- Debt-to-equity stands at 0.49x, a direct read on leverage sensitivity.
- Current ratio is 1.53x, framing near-term liquidity coverage.
- Operating cash flow is $4.24B.

Key Metrics Dashboard

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31

Profitability

Metric	Current Value	Prior Period	Change (%)
Return on Equity	16.3%	27.7%	-41.0%
Return on Assets	4.2%	7.1%	-40.6%
Operating Margin	13.6%	22.9%	-40.7%
Net Margin	10.2%	19.8%	-48.2%
Earnings Per Share (Diluted)	$7.40	$11.89	-37.8%
EBITDA	$4.07B	$5.51B	-26.2%

Liquidity & Leverage

Metric	Current Value	Prior Period	Change (%)
Total Debt	$7.25B	$7.38B	-1.8%
Net Debt	$3.61B	$4.36B	-17.3%
Current Ratio	1.53x	1.57x	-3.1%
Quick Ratio	1.31x	1.34x	-2.5%
Cash Ratio	0.46x	0.44x	3.8%
Debt-to-Equity	0.49x	0.55x	-10.5%
Debt Maturity (Current %)	22.8%	0.0%	N/A
Equity Multiplier	3.88x	3.91x	-0.7%

Key Metrics Dashboard (Cont.)

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$22.7B	$19.0B	19.5%
Net Income	$2.32B	$3.75B	-38.1%
Operating Income	$3.09B	$4.35B	-29.1%
Total Assets	$57.2B	$52.9B	8.2%
Stockholders' Equity	$14.9B	$13.5B	9.7%
Total Liabilities	$42.4B	$39.4B	7.6%

Cash Flow & Per Share (1/2)

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	$4.24B	-$2.46B	NM
Free Cash Flow	$1.29B	-$5.03B	NM
Capital Expenditures	-$2.95B	-$2.56B	15.0%
FCF Margin	5.7%	-26.5%	NM
CFO Margin	18.7%	-13.0%	NM
CFO / Net Income	1.83x	-0.66x	NM

Key Metrics Dashboard (Cont.)

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31

Cash Flow & Per Share (2/2)

Metric	Current Value	Prior Period	Change (%)
CapEx / Revenue	13.0%	13.5%	-3.8%
ROIC Proxy	14.0%	20.8%	-32.9%
Asset Turnover	0.41x	0.36x	14.8%
Book Value Per Share	$47.61	$43.26	10.1%
Working Capital	$4.17B	$3.93B	6.2%

Secondary Metrics

Metric	Current Value	Prior Period	Note
Current Assets	$12.1B	$10.8B	Deterministic carry-through from appendix source lines
Current Liabilities	$7.94B	$6.85B	Deterministic carry-through from appendix source lines
Cash & Equivalents	$3.64B	$3.02B	Deterministic carry-through from appendix source lines
Long-Term Debt	$7.40B	$8.47B	Deterministic carry-through from appendix source lines
Short-Term Debt	$1.65B	$0	Deterministic carry-through from appendix source lines
Shares Outstanding	312.0M	313.0M	Deterministic carry-through from appendix source lines

Commentary

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31

What stands out

- Revenue is $22.7B, with 19.5% growth versus the prior annual filing.
- Net income is $2.32B, with -38.1% change year over year.
- Operating margin is 13.6% and net margin is 10.2%, indicating current earnings conversion and bottom-line retention.

Watch items

- Monitor leverage and liquidity together: debt-to-equity is 0.49x and current ratio is 1.53x.
- Validate next-period durability before extrapolating the latest one-year growth and margin profile.

Analyst interpretation

- CEG currently combines scale and profitability, but the key decision point is whether margin and cash conversion stay consistent across the next filings.
- Balance-sheet posture is best read jointly: debt-to-equity at 0.49x and current ratio at 1.53x.
- Cash generation remains a central validation point, with free cash flow at $1.29B in the latest annual period.

Next Filing Checklist

- Confirm whether CEG can sustain revenue at $22.7B through the next filing cycle.
- Track free cash flow conversion versus earnings; current reference is $1.29B.
- Reassess leverage and liquidity together (0.49x debt-to-equity, 1.53x current ratio).

Appendix

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31

Appendix A — CEG Income Statement

Metric	FY2025	FY2024	FY2023
Revenue	$22.7B	$19.0B	$20.8B
Operating Expenses	$22.4B	$19.3B	$23.3B
Operating Income	$3.09B	$4.35B	$1.61B
Net Income	$2.32B	$3.75B	$1.62B
EPS (Basic)	$7.40	$11.91	$5.02
EPS (Diluted)	$7.40	$11.89	$5.01
Weighted Avg Shares (Diluted)	314.0M	315.0M	324.0M
Income Tax Expense	$1.19B	$774M	$859M

Appendix B — CEG Balance Sheet (Part 1/2)

Metric	FY2025	FY2024	FY2023
Shares Outstanding	312.0M	313.0M	317.0M
Total Assets	$57.2B	$52.9B	$50.8B
Total Liabilities	$42.4B	$39.4B	$39.5B
Total Stockholders' Equity	$14.9B	$13.5B	$11.3B
Current Assets	$12.1B	$10.8B	$8.30B
Current Liabilities	$7.94B	$6.85B	$6.32B
Cash & Equivalents	$3.64B	$3.02B	$368M
Total Debt	$7.25B	$7.38B	$7.50B
Long-Term Debt	$7.40B	$8.47B	$7.68B

Appendix B — CEG Balance Sheet (Part 2/2)

Metric	FY2025	FY2024	FY2023
Short-Term Debt	$1.65B	$0	$1.64B
Inventory	$1.74B	$1.60B	Not reported
Accounts Receivable	$4.27B	$3.12B	$1.93B
Other Current Assets	$635M	$689M	$1.66B
Accounts Payable	$2.81B	$2.37B	$1.30B
Other Current Liabilities	$366M	$332M	$338M
Retained Earnings	$5.90B	$4.07B	$761M
AOCI	-$2.42B	-$2.30B	-$2.19B
Goodwill	$420M	$420M	$425M

Appendix (Cont.)

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31

Appendix C — CEG Cash Flow Statement

Metric	FY2025	FY2024	FY2023
Operating Cash Flow	$4.24B	-$2.46B	-$5.30B
Capital Expenditures	-$2.95B	-$2.56B	-$2.42B
Investing Cash Flow	-$3.20B	$7.43B	$3.03B
Financing Cash Flow	-$420M	-$2.29B	$2.20B
Dividends Paid	-$486M	-$444M	-$366M
Share Repurchases	-$400M	-$999M	-$992M
Depreciation & Amortization (derived)	$985M	$1.16B	$1.13B
Depreciation	$967M	$1.10B	$1.07B
Amortization of Intangibles	$18M	$60M	$58M
Debt Repayment	-$1.08B	-$121M	-$168M
Cash at End of Period	$3.75B	$3.13B	$454M

Appendix Notes — CEG

- Locked annual appendix basis uses FY2025 and FY2024.
- Asset Turnover: Asset turnover uses average assets for the current period and prior ending assets for the prior comparison..
- Book Value Per Share: BVPS uses period-end shares outstanding..
- Derived or reconciled appendix rows include Depreciation & Amortization.
- Primary filing anchor: 10-K filed 2026-02-24.

Data Sources & Notes

Ticker	CIK	Accession	Form	Filed	Primary Document
CEG	0001868275	0001868275-26-000032	10-K	2026-02-24	https://www.sec.gov/Archives/edgar/data/1868275/000186827526000032/0001868275-26-000032-index.htm
CEG	0001868275	0001868275-25-000023	10-K	2025-02-18	https://www.sec.gov/Archives/edgar/data/1868275/000186827525000023/0001868275-25-000023-index.htm
CEG	0001868275	0001868275-24-000014	10-K	2024-02-27	https://www.sec.gov/Archives/edgar/data/1868275/000186827524000014/0001868275-24-000014-index.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Comparisons reflect each issuer’s latest annual filing period unless otherwise noted.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-07. Retrieval date: 2026-03-07.

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